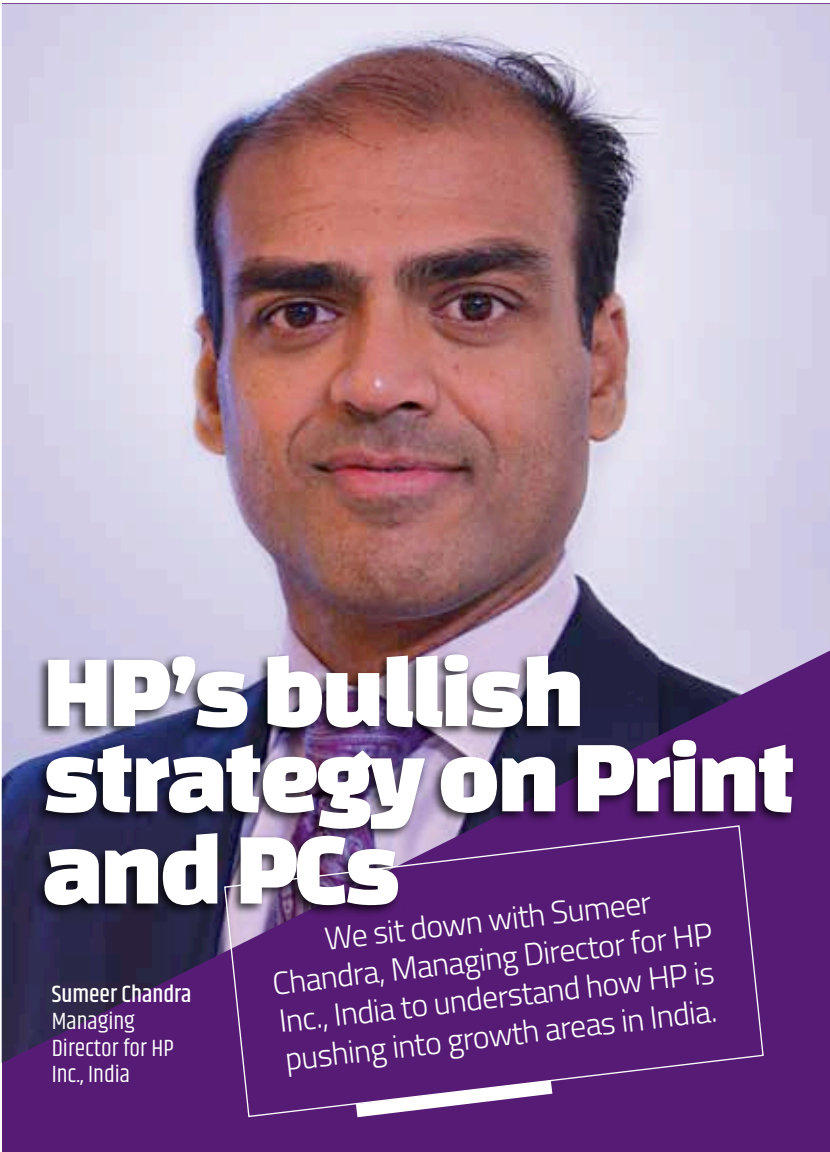




HP's bullish strategy on Print and PCs

Sumeer Chandra
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We sit down with Sumeer Chandra, Managing Director for HP Inc., India to understand how HP is pushing into growth areas in India.

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d In a global context and Indian context could you elaborate more on revenues from the core businesses being used to drive the growth business?

Sumeer: We follow this core growth future framework. For us core is the source of majority for revenues and profits. And we use that to invest. A good example of how we're investing is investing in growth areas like A3 – a clear case where we were investing both in terms of people as well as the market-facing investments to drive that business. Another one is what we're doing in premium and gaming perspective. Again, the investments are more in the form of marketing to grow that portfolio. One of the big investments we made about a year and a half

back was program called Digital India, in response to, the government's big push towards digitization. We also developed a custom made product for India, a digital tablet. So we work across a number of digital initiatives. Whether it is smart cities, digitization of paper, in High Court records, educational projects, surveillance, etc. and a number of these projects for various governments. 3D printing is an area where we're just getting started. We launched a product in January in India. We're in very early stages of developing that segment and we'll be investing strongly in sales resources and customer level engagement.

d To help build the gaming community, are there any steps being taken on a grassroots level?

Sumeer: We're getting into the gaming community to be more than just a big sponsorship. Although I can't disclose too much, HP are definitely in the process of working at the grassroots level as well. We need to build a support system that speaks the language of gamers. We also need a complete portfolio. You have the gaming laptops and desktops in the market and we're working on keyboards, mice, accessories and all those things.

We're also venturing into new areas, like merchandise (clothing). We're actually looking at branding beyond the traditional means. We want to create a very strong brand recognition, and they'll go beyond kind of go into new areas. You'll see more.

d What is HP doing within the print and PC space to evolve and take advantage of the current downward shift in both the markets?

Sumeer: 20 years back, people in the west said printing will go away, and we'll be completely paperless. That hasn't happened and I don't expect that to happen in India as well. Now, there will be certain printed volume that will fall away and we'll become more and more digital. We're trying to get into areas like digitization. We offer a digitization service under which we've executed a massive project for the Bihar Government where we digitised a lot of land records. A3 clearly is a growth area for us. We have very little share, there's a clear scope for us. So I feel an Enterprise's growth is going to come from combination of digitization and A3. As for SMB and print, I think the market is still untapped because what we're seeing is because of GST, you're seeing a lot of SMB is actually now becoming more digital so we've seen a huge uptake in our SMB oriented business because of GST transition. And if you think about, the 60 million SMBs that are in India, only about 25% of them are digital. So there's a huge, huge massive market still remains remains to be tapped.

Similarly, on the PC front we have a very similar thought. Enterprises will move towards devices-as-a-service and for consumers we feel there's a huge unpenetrated market. Especially as broadband starts to roll out, what happened with the cellular space is going to happen in the home. There's a lot of opportunity there. 